Fidelity® Japan Fund

Key Takeaways

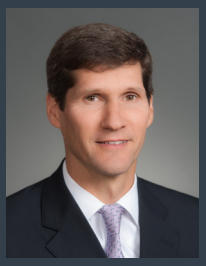
- For the semiannual reporting period ending April 30, 2026, the fund's Retail Class shares gained 16.48%, handily topping the 11.26% advance of the benchmark, the Tokyo Stock Price Index (TOPIX).
- Portfolio Manager Kirk Neureiter says ongoing corporate governance progress, Japan's broad exposure to the AI supply chain, resilient economic growth, as well as substantial reserves that helped blunt the impact of higher oil prices, supported Japanese stocks this period.
- Kirk notes that it was a rewarding six months for the fund, as his strategy of owning companies he believes have the ability to improve their returns on equity over time enabled the portfolio to finish considerably ahead of the benchmark.
- Versus the TOPIX index, security selection and an overweight in the materials sector notably contributed to performance. Picks in information technology, especially the semiconductors & semiconductor equipment industry, also helped.
- In stock-specific terms, an overweight in Kioxia Holdings (+252%) was the fund's top relative contributor, followed by sizable positions in Furukawa Electric (+279%) and Nitto Boseki (+220%).
- Conversely, stock picking and an underweight in industrials detracted most among sectors. Investment choices in communication services also hurt.
- Meaningful individual relative detractors included outsized positions in Fujifilm Holdings (-20%) and Fujitsu (-21%).
- As of April 30, Kirk believes that improving corporate governance should continue to attract more investors to Japan's stock market, given the sharper focus on increasing return on equity among the nations' businesses.

MARKET RECAP

International equities gained 12.22% for the six months ending April 30, 2026, according to the MSCI ACWI (All Country World Index) ex USA Index, reflecting an April (+9.69%) surge that followed a downturn amid conflict in the Middle East and concern about the viability of investments in artificial intelligence. The index returned -10.75% in March, due to increased uncertainty about global economic activity and rising energy prices in the aftermath of joint U.S.–Israeli military action in Iran that began on February 28. The conflict sent a shockwave through oil markets, with the potential to dampen growth and stoke inflation. Earlier in the period, moves by some foreign central banks to ease monetary policy contributed to a favorable backdrop, as did a generally weaker U.S. dollar. By region for the six months, Canada (+17%) and emerging markets (+15%) led the way. The U.K. and Asia Pacific ex Japan each gained about 12%. Conversely, Europe ex U.K. (+9%) and Japan (+11%) lagged by the widest margin. Among sectors, energy (+34%) was the top performer, benefiting from rising prices for crude oil and natural gas, due largely to concerns about global supply disruption and the closure of the Strait of Hormuz, which accounts for roughly 35% of global crude exports. Information technology rose roughly 33% and materials advanced 22%. Conversely, stocks in the communication services (-13%) and consumer discretionary (-10%) sectors stood out as meaningful laggards.

Not FDIC Insured • May Lose Value • No Bank Guarantee

Fidelity INVESTMENTS



Kirk Neureiter
Portfolio Manager

Fund Facts

Trading Symbol:	FJPNX
Start Date:	September 15, 1992
Size (in millions):	$1,037.17

Investment Approach

- Fidelity® Japan Fund is a concentrated Japanese equity strategy that seeks long-term growth of capital.
- We try to outperform the benchmark over a full market cycle by investing in companies that we believe have the ability to improve their returns on equity (ROE) over time.
- This focus on improving returns involves identifying good businesses that are attractively priced relative to the market and that are benefiting from new market development, evolving capital structures, efficiency improvements, pricing power or a change in management incentives.
- The fund considers security valuations relative to peers, history and the benchmark as key screening criteria.
- The fund targets 70 to 100 holdings, the majority of which we believe to be "long-term winners," along with a much smaller "opportunistic" bucket composed of cyclical or event-related trading opportunities.

Q&A

An interview with Portfolio Manager Kirk Neureiter

Q: Kirk, how did the fund perform for the six months ending April 30, 2026?

The fund's Retail Class shares gained 16.48%, handily topping the 11.26% advance of the benchmark Tokyo Stock Price Index (TOPIX). The portfolio also outpaced the peer group average, which rose 13.76%.

For the trailing 12 months, the fund was up 46.72%, well ahead of both the benchmark and the peer group average. Importantly, given our focus, longer-term comparisons favor the fund over the benchmark.

Q: What was noteworthy about the investment backdrop the past six months?

Ongoing corporate governance progress, Japan's broad exposure to the artificial intelligence supply chain, resilient economic growth, as well as substantial reserves that helped blunt the impact of higher crude oil prices, supported Japanese stocks. In fact, 13 of the 20 largest contributors to performance versus the benchmark were tied in some way to the AI supply chain. *[Editor's note: This is a topic Kirk discusses in more detail in the next section of this report.]*

The domestic economy maintained a moderate pace despite headwinds from escalating geopolitical tension in the Middle East, which drove up crude oil and import prices. This environment accelerated the pace at which Japanese corporations passed on rising input costs to consumers, keeping the core Consumer Price Index – excluding fresh food – above the central bank's 2% target. However, the economy was spared the worst of the surge in oil's price because the nation had roughly 260 days of crude in reserve. Moreover, the government held down gasoline prices, hoping that the U.S./Israeli conflict in Iran would be resolved before too long.

Stock prices in Japan were roughly flat for the first two months of the period before rising in January and February. The market pulled back in March, as investors grew cautious at the outset of the U.S./Israeli bombing campaign in Iran. Share prices recovered in April, though, amid a ceasefire that allowed peace negotiations to move ahead. At the end of April, the benchmark was near its late-February peak.

Looking at sectors within the benchmark, energy (+35%) was the top performer for the period, reflecting a high double-

digit rise in the price of crude oil during the first four months of 2026. Other strong performers were materials (+30%) and financials (+27%). On the other hand, communication services (-18%) considerably lagged the benchmark this period, with particular weakness in the media & entertainment segment (-27%). Two other sectors, consumer discretionary (-3%) and consumer staples (-2%), finished below breakeven. These last two reflected the somewhat cautious spending of Japanese consumers, despite government subsidies to help offset rising fuel costs and plans to help households with summer utility bills.

Q: Which factors notably contributed to the fund's performance versus the benchmark?

Security selection and an overweight in the materials sector provided the biggest boost to relative performance. Picks in information technology, especially the semiconductors & semiconductor equipment industry, also helped.

In stock-specific terms, an overweight in Kioxia Holdings (+252%) topped the list of relative contributors. The company is a leading provider of NAND flash memory and solid-state drives. Since its initial public offering in December 2024, the stock has benefited from robust demand for digital memory products.

Generally speaking, AI memory is shifting from DRAM to NAND amid the expansion of AI data centers. Demand for NAND memory received a further boost in Q4 of 2025, when some advances in agentic AI came into play. Additionally, the process of training and inferencing large-scale AI models requires high-speed processing and storage of vast amounts of data, leading to a significant increase in demand for enterprise solid-state drives and a surge in prices. I reduced the fund's share count in Kioxia for risk-management purposes but maintained an overweight stake.

An outsized position in Furukawa Electric (+279%) also helped. The company provides a broad range of products, but it was optical components that mainly drove the strong advance of the stock this period: specifically, optical cable and transceivers that are used in AI data centers. As described in the company's 2025 Medium-Term Plan, Furukawa is in the midst of a reallocation of resources to accelerate investments in products targeted at data centers. In this case, too, I lowered the number of shares owned by the fund, but price appreciation left us with a sizable overweight as of April 30.

I'll also mention Nitto Boseki (+220%), a maker of the glass cloth used in printed circuit boards, which is prized because of its heat-dampening properties. On my recent trip to Taiwan, management of multiple PCB makers cited the importance of adequate supplies of glass cloth – specifically, from this manufacturer. That and conversations with our technology analysts led me to establish a position in the stock shortly before the period began, and it proved to be a timely decision. Given the stock's outsized gain, I sold some shares to capture some profit for the fund.

Q: What about noteworthy detractors?

Stock picking and an underweight in industrials detracted most among sectors. Investment choices in communication services also hurt, although the impact was muted by underweighting that lagging group.

The largest individual detractor was an overweight in Fujifilm Holdings (-20%). The company has seen growth in its Imaging Solutions division slow over the years, but it also has a Healthcare Materials & Solutions segment that it plans to use as a platform to pivot into contract drug manufacturing, a move I believe has promise. This period, though, the company failed to meet expectations for increased demand from companies seeking to avoid doing business with Chinese firms as a result of the Biosecure Act passed in December 2025. The law restricts U.S. federal procurement and grants involving biotechnology products or services provided by "biotechnology companies of concern" and was expected to impact several Chinese contract drug manufacturers. I trimmed this holding but maintained an overweight position.

Outsized exposure to Fujitsu (-21%) also hurt. The company is an IT services firm, a group that sold off virtually across the board, as investors worried about potential disruption from AI. I reduced this position to approximately a market weight during the period. Nomura Research Institute (-25%) was another holding in this category. In this case, I established the position during the period but ultimately decided to liquidate our holdings before period end – part of a broader reduction in exposure to software & services stocks.

Q: Any final thoughts for shareholders as of April 30, Kirk?

While the conflict in the Middle East has dominated the news lately, I believe the more important story in Japan remains the improving corporate governance and competitiveness of Japanese firms. The nation's companies continue to make steady progress in terms of selling off cross-shareholdings, reducing cash on the balance sheet and returning more capital to shareholders in the form of share buybacks and dividend increases. I think it's important to realize this focus on improving return on equity is not a short-term trend, but rather one that I believe will likely continue to play out over many years. While it provides no guarantees, I think this creates a favorable backdrop for investments in Japanese stocks. ■

Portfolio Manager Kirk Neureiter on Japan's key role in the AI supply chain:

"The global economy is being supported by the significant increase in capital expenditure for AI infrastructure. While this has been primarily a U.S. phenomenon, I expect demand for international infrastructure to increase, as concern over data security for sovereigns becomes a more pressing issue. This could lead to a prolonged period of data-center and communications spending by U.S. and international computing providers. Companies in Japan are very well positioned to benefit from this increase due to their technology and manufacturing expertise.

"This is a spending cycle similar in scale to the internet boom of the late 1990s, but there are differences as well. AI use cases are expanding rapidly, and the productivity gains to be realized could drive higher-for-longer spending for high-level computing, so I'm watching very closely for any potential inflection.

"The supply chain to build a data center is very complex. Whether it be semiconductors, transceivers, wires and cables, or the power infrastructure, Japanese companies are essential suppliers into this network.

"I'm thinking of companies such as Ajinomoto, which provides the ABF material that is turned into a package that holds the GPU or CPU in a server. Ibiden is a company that makes the package that holds the silicon, protecting the surrounding materials as it heats up. Nitto Boseki makes glass cloth, which strengthens a printed circuit board and prevents it from warping. Furukawa Electric makes optical components and fiber to speed the transfer of communications in rack and from server to server. Behind all of this is Mitsubishi Heavy Industries, which makes gas turbines that generate on-site electricity to help power large data centers. All stocks mentioned here are fund holdings as of April 30."

LARGEST CONTRIBUTORS VS. BENCHMARK

Holding	Market Segment	Average Relative Weight	Relative Contribution (basis points)*
Kioxia Holdings Corp	Information Technology	1.75%	254
Furukawa Electric Co Ltd	Industrials	1.17%	197
Nitto Boseki Co Ltd	Industrials	1.11%	127
Resonac Holdings Corp	Materials	1.24%	115
Toyo Gosei Co Ltd	Materials	1.01%	92

** 1 basis point = 0.01%.*

LARGEST DETRACTORS VS. BENCHMARK

Holding	Market Segment	Average Relative Weight	Relative Contribution (basis points)*
FUJIFILM Holdings Corp	Information Technology	1.73%	-66
Fujitsu Ltd	Information Technology	1.27%	-55
Mitsui & Co Ltd	Industrials	-1.55%	-55
Hitachi Ltd	Industrials	1.76%	-47
Manulife Tax-Managed Growth Fund	Industrials	-1.84%	-39

** 1 basis point = 0.01%.*

ASSET ALLOCATION

Asset Class	Portfolio Weight	Index Weight	Relative Weight	Relative Change From Six Months Ago
International Equities	97.00%	100.00%	-3.00%	-1.21%
Developed Markets	96.74%	100.00%	-3.26%	-1.47%
Emerging Markets	0.26%	0.00%	0.26%	0.26%
Tax-Advantaged Domiciles	0.00%	0.00%	0.00%	0.00%
Domestic Equities	0.92%	0.00%	0.92%	0.50%
Bonds	0.00%	0.00%	0.00%	0.00%
Cash & Net Other Assets	2.08%	0.00%	2.08%	0.71%

Net Other Assets can include fund receivables, fund payables, and offsets to other derivative positions, as well as certain assets that do not fall into any of the portfolio composition categories. Depending on the extent to which the fund invests in derivatives and the number of positions that are held for future settlement, Net Other Assets can be a negative number.

"Tax-Advantaged Domiciles" represent countries whose tax policies may be favorable for company incorporation.

MARKET-SEGMENT DIVERSIFICATION

Market Segment	Portfolio Weight	Index Weight	Relative Weight	Relative Change From Six Months Ago
Industrials	24.49%	27.64%	-3.15%	-2.25%
Information Technology	16.30%	14.37%	1.93%	-5.01%
Financials	13.90%	16.65%	-2.75%	-1.73%
Consumer Discretionary	12.11%	14.45%	-2.34%	2.06%
Materials	11.95%	5.80%	6.15%	3.72%
Health Care	7.33%	5.51%	1.82%	1.19%
Consumer Staples	5.57%	4.80%	0.77%	1.36%
Communication Services	3.81%	6.33%	-2.52%	-0.31%
Energy	1.43%	1.06%	0.37%	0.66%
Real Estate	1.03%	2.04%	-1.01%	-0.42%
Utilities	0.00%	1.35%	-1.35%	0.01%
Other	0.00%	0.00%	0.00%	0.00%

COUNTRY DIVERSIFICATION

Country	Portfolio Weight	Index Weight	Relative Weight	Relative Change From Six Months Ago
Japan	98.20%	100.00%	-1.80%	-1.03%
Other Countries	1.18%	N/A	N/A	N/A
Cash & Net Other Assets	0.62%	0.00%	0.62%	0.27%

10 LARGEST HOLDINGS

Holding	Market Segment	Portfolio Weight	Portfolio Weight Six Months Ago
Sumitomo Mitsui Financial Group Inc	Financials	5.34%	4.91%
Hitachi Ltd	Industrials	3.77%	4.99%
Toyota Motor Corp	Consumer Discretionary	3.30%	--
Renesas Electronics Corp	Information Technology	2.80%	1.91%
Kioxia Holdings Corp	Information Technology	2.66%	2.43%
Hoya Corp	Health Care	2.52%	2.99%
Mizuho Financial Group Inc	Financials	2.49%	2.28%
Furukawa Electric Co Ltd	Industrials	2.33%	0.76%
ORIX Corp	Financials	2.22%	2.77%
Chugai Pharmaceutical Co Ltd	Health Care	2.16%	2.00%
10 Largest Holdings as a % of Net Assets		**29.60%**	**31.66%**
Total Number of Holdings		**93**	**94**

The 10 largest holdings are as of the end of the reporting period, and may not be representative of the fund's current or future investments. Holdings do not include money market investments.

FISCAL PERFORMANCE SUMMARY: Periods ending April 30, 2026

	Cumulative		Annualized			
	6 Month	YTD	1 Year	3 Year	5 Year	10 Year/ LOF[1]
Fidelity Japan Fund Gross Expense Ratio: 0.74%[2]	16.48%	17.55%	46.72%	21.70%	9.32%	11.16%
TOPIX Total Return Index	11.26%	10.47%	30.18%	19.10%	9.12%	9.15%
Morningstar Japan Stock	13.76%	11.51%	35.76%	21.75%	11.36%	10.28%
% Rank in Morningstar Category (1% = Best)	--	--	16%	31%	43%	20%
# of Funds in Morningstar Category	--	--	42	36	33	25

[1] *Life of Fund (LOF) if performance is less than 10 years. Fund inception date: 09/15/1992.*

[2] *This expense ratio is from the prospectus in effect as of the date shown above and generally is based on amounts incurred during that fiscal year, or estimated amounts for the current fiscal year in the case of a newly launched fund. It does not include any fee waivers or reimbursements, which would be reflected in the fund's net expense ratio.*

Past performance is no guarantee of future results. Investment return and principal value of an investment will fluctuate; therefore, you may have a gain or loss when you sell your shares. Current performance may be higher or lower than the performance stated. Performance shown is that of the fund's Retail Class shares (if multiclass). You may own another share class of the fund with a different expense structure and, thus, have different returns. To learn more or to obtain the most recent month-end or other share-class performance, visit fidelity.com/performance, institutional.fidelity.com, or 401k.com. Total returns are historical and include change in share value and reinvestment of dividends and capital gains, if any. Cumulative total returns are reported as of the period indicated. **Please see the last page(s) of this Q&A document for most-recent calendar-quarter performance.**

Definitions and Important Information

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FUND RISKS

Stock markets, especially foreign markets, are volatile and can decline significantly in response to adverse issuer, political, regulatory, market, or economic developments. Foreign securities are subject to interest rate, currency exchange rate, economic, and political risks. The risks are particularly significant for funds that focus on a single country or region.

IMPORTANT FUND INFORMATION

Relative positioning data presented in this commentary is based on the fund's primary benchmark (index) unless a secondary benchmark is provided to assess performance.

INDICES

It is not possible to invest directly in an index. All indices represented are unmanaged. All indices include reinvestment of dividends and interest income unless otherwise noted.

Tokyo Stock Price Index (TOPIX) is a market-capitalization-weighted index of the common stock of the large companies that make up the First Section of the Tokyo Stock Exchange.

MSCI ACWI (All Country World Index) ex USA Index is a market-capitalization-weighted index that is designed to measure the investable equity market performance for global investors of developed and emerging markets, excluding the United States.

MARKET-SEGMENT WEIGHTS

Market-segment weights illustrate examples of sectors or industries in which the fund may invest, and may not be representative of the fund's current or future investments. They should not be construed or used as a recommendation for any sector or industry.

RANKING INFORMATION

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% Rank in Morningstar Category is the fund's total-return percentile rank relative to all funds that have the same Morningstar Category. The highest (or most favorable) percentile rank is 1 and the lowest (or least favorable) percentile rank is 100. The top-performing fund in a category will always receive a rank of 1%. % Rank in Morningstar Category is based on total returns which include reinvested dividends and capital gains, if any, and exclude sales charges. Multiple share classes of a fund have a common portfolio but impose different expense structures.

RELATIVE WEIGHTS

Relative weights represents the % of fund assets in a particular market segment, asset class or credit quality relative to the benchmark. A positive number represents an overweight, and a negative number is an underweight. The fund's benchmark is listed immediately under the fund name in the Performance Summary.

Manager Facts

Kirk Neureiter is a portfolio manager in the Equity division at Fidelity Investments. Fidelity Investments is a leading provider of investment management, retirement planning, portfolio guidance, brokerage, benefits outsourcing, and other financial products and services to institutions, financial intermediaries, and individuals.

In this role, Mr. Neureiter is primarily responsible for managing Fidelity Japan Fund and co-managing the Fidelity Pacific Basin Fund. He also serves as the president of Fidelity Management & Research Company's office in Japan.

Prior to assuming his current role, Mr. Neureiter worked as a research analyst at Fidelity from 2008 to 2014, where he was primarily responsible for identifying investment opportunities within the top 500 names by market cap for all Fidelity group companies. His previous positions with Fidelity include that of portfolio manager at Fidelity International (Japan) Limited from 2003 to 2008, director of Japan research from 2000 to 2003, associate director of research from 1999 to 2000, research analyst from 1997 to 2000, and research associate for Fidelity Investments Japan starting in 1994.

Before joining Fidelity, Mr. Neureiter worked for Sony Corporation in the consumer products planning and administration group in Tokyo. He has been in the financial industry since 1994.

Mr. Neureiter earned his bachelor of arts degree from the College of Wooster.

PERFORMANCE SUMMARY:
Quarter ending September 30, 2026

	Annualized			
	1 Year	3 Year	5 Year	10 Year/ LOF[1]
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Before investing in any mutual fund, please carefully consider the investment objectives, risks, charges, and expenses. For this and other information, call or write Fidelity for a free prospectus or, if available, a summary prospectus. Read it carefully before you invest.

Past performance is no guarantee of future results.

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Diversification does not ensure a profit or guarantee against a loss.

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